

Agency Theory in Interorganizational Relationships: Traditional and Emerging Problems

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Abstract: This chapter explores the contributions of agency theory to interorganizational relationships. Such relationships often involve delegation of decision authority from a principal to an agent, creating moral hazard, adverse selection, and other agency costs when actions, information, or capabilities are imperfectly observed. Firms respond through contracts, monitoring systems, screening, organizational design, and other control mechanisms that align incentives while managing risk. The chapter develops a unifying framework that decomposes realized value into first-best value minus agency costs and links this outcome to agent actions, principal controls, primitives, and contextual moderators. It offers a unifying framework that consolidates insights from agency theory across multiple research traditions in marketing. The framework details the foundational elements of agency models and examines their joint effects on the value created by interorganizational relationships. Building on this structure, the chapter examines how agency theory can offer insights into emerging managerial challenges driven by technological innovation and evolving governance structures.

Keywords: Agency Theory, Interorganizational Relationships, Contracts, Monitoring Systems, Organizational Design, Marketing.

1. Introduction

Marketing creates value by establishing and nurturing relationships with customers (Dong et al. 2011), suppliers (Stump and Heide 1996), and employees (Shi et al. 2017). Brand managers, for instance, build brands that resonate with customers (Bruce et al. 2012), collaborate with channel partners to expand market reach (Neslin and Shankar 2009), and coordinate with different players to enhance organizational value (Dai et al. 2021). Product managers lead cross-functional teams throughout the product lifecycle, work with suppliers to optimize supply chains, and collaborate with direct and indirect salesforces to deliver value. Similarly, account executives cultivate relationships with prospective and existing clients, invest in understanding customer needs, and work with engineering teams to translate those insights into tailored customer solutions (Worm et al. 2017).

This chapter focuses on interorganizational relationships (IORs), e.g., that is, sustained collaborations between legally autonomous organizations such as supplier–buyer partnerships, distribution agreements, marketing alliances, technological partnerships, and outsourcing contracts. Despite their value-creating potential, such interorganizational relationships are often vulnerable to opportunistic behaviors. Suppliers, for example, may underinvest in quality control, leading to defective components that disrupt operations and erode profitability. Customers, too, may act opportunistically. They might abuse return policies, exaggerate claims following service failures, or misuse warranty provisions (Guan et al. 2024). Employees can exploit information asymmetries by diverting resources for personal benefit (Mishra and Prasad 2006; Orhun et al. 2022), they may manipulate marketing budgets to claw bonuses (Chapman and Steenburgh 2011; Ahearne et al. 2016), or they can engage in undisclosed arrangements with

vendors to receive bribes or kickbacks (Singh 2017; Kräkel 2024), ultimately undermining firm value.

Such opportunistic behaviors often stem from information asymmetries and misaligned incentives, which become especially salient when decision-making authority is delegated from a principal to an agent. In marketing, this delegation is common. Selling activities may be delegated to a salesforce (e.g., Blanchard et al. 2018), the development and implementation of a digital marketing campaign can be outsourced to an outside agency (Frick et al. 2023), distribution can be delegated to franchisees (Kim and Jap 2022), and pricing authority to an agent (Mishra and Prasad 2005). In such cases, the principal might not be able to assess the economic efficiency of the actions taken by the agent. A sales rep may choose to rely on the momentum of past efforts to capture commissions, rather than actively pursuing new clients to expand the firm's customer base (e.g., Rubel and Prasad 2016). A digital advertising agency might induce targeting inefficiency in the short run for some advertisers to maximize its payoff in the long run with other advertisers (e.g., Shin and Shin 2023). A not-for-profit leader might allocate marketing and operational resources in the pursuit of personal career goals at the expense of efficiently fulfilling the mission of their organization (e.g., Arya and Mittendorf 2015). Retail partners might decide to not follow pricing policies set by manufacturers (Israeli et al. 2016).

When information asymmetries threaten the value created in a relationship, agency theory provides a powerful lens for identifying, understanding, and managing conflicts rooted in misaligned incentives. Specifically, it provides a robust framework for understanding and addressing the governance challenges that arise in interorganizational relationships. It sheds light on how firms can structure contracts and agreements to align incentives across organizational

boundaries, monitor and influence a partner's behavior when direct oversight is limited, and mitigate the risks of moral hazard, shirking, and information withholding. These challenges are especially salient in marketing contexts where firms often rely on third parties, such as distributors, franchisees, or marketing agencies, to act on their behalf. By foregrounding agency theory's relevance to the design and management of inter-firm relationships, this chapter highlights its practical utility in improving IOR performance and minimizing value-eroding frictions.

To do so, this chapter builds on prior treatments of agency theory. For instance, Bolton and Dewatripont (2004) provide an in-depth presentation of the economic foundations of contract theory, while Gibbons (2005) presents a clear introductory exposition of contract theory. Meanwhile, Bergen et al. (1992) and Banerjee et al. (2012) offer insightful reviews of agency theory in marketing. Building on these contributions, this chapter offers a unifying conceptual framework that integrates diverse research traditions in marketing. Furthermore, while agency theory has broad relevance across marketing contexts, this chapter focuses on its application to interorganizational relationships (IORs), where firms must align incentives, monitor behaviors, and design governance mechanisms across organizational boundaries. Finally, the chapter highlights how agency theory can illuminate new research avenues emerging from technological innovation and evolving governance structures, particularly in interorganizational contexts, where novel technologies (e.g., AI-driven monitoring systems) and complex ownership patterns (e.g., common ownership) reshape how firms delegate authority, manage incentives, and ensure accountability across organizational boundaries.

To establish a foundation for the framework developed in this chapter, the next section outlines the core assumptions and mechanisms of agency theory that underpin its application to interorganizational marketing contexts. Specifically, it introduces the key constructs, such as

information asymmetry, incentive alignment, and agent behavior, and clarifies how these generate governance challenges that firms must navigate when designing contracts or monitoring systems. By doing so, the section lays the conceptual groundwork necessary to integrate diverse insights and develop a unified framework for understanding and managing IORs through the lens of agency theory.

2. Method Background

2.1. Conceptual Framework

Agency theory is primarily concerned with how value is created when a principal delegates decision-making authority to an agent in the presence of information asymmetry. In agency settings, agents often hold private information, such as their levels of effort or characteristics related to themselves or the market (e.g., their own type, customer profiles, or cost structures), that the principal cannot fully observe. Bergen et al. (1992) for instance distinguish between hidden action models and hidden trait models. Information asymmetries allow agents to act opportunistically, potentially at the expense of the principal; the actions taken by the agent(s) might differ from what would be efficient from the principal's perspective.

These risks are particularly salient in interorganizational relationships, where the principal (e.g., advertiser) and agent (e.g., advertising agency) are separate organizations with distinct goals, priorities, and access to information. Typical agency problems in IORs include goal incongruence such as when channel partners prioritize their own profitability over brand consistency or market expansion; information asymmetries—such as when local distributors withhold market intelligence to maintain bargaining power; and moral hazard—where, after contract design, partners may take actions that depart from the initial agreement. Similarly, adverse selection is also a concern, as firms may unknowingly enter alliances with partners who

may misrepresent their capabilities. These recurring challenges shape how firms design contracts, monitor performance, and adapt governance structures across organizational boundaries.

Specifically, to mitigate these risks, organizations employ a litany of control mechanisms or strategic levers to align agent actions with value creation while minimizing potential frictions. These levers include formal contracts that promote desired outcomes, monitoring systems that guide behaviors (e.g., Shekari and Ray 2025), and organizational structures that enhance oversight of agents (e.g., Heide 2003). At the heart of this approach lies the challenge of striking a delicate balance between promoting performance and shielding agents from undue risk.

The value produced by an agency relationship can be decomposed into two components. *First*, there is the maximum value potential that could be achieved in the absence of information asymmetries and incentive misalignment between the principal and the agent (Gibbons 2005). This ideal outcome is referred to as the First-Best value, denoted by FB . *Second*, there are agency costs, or frictions, that arise due to hidden information and conflicting interests, which hinder the full realization of the first best value. We denote these agency costs as AC . In equilibrium, the net realized value of the agency relationship, V , is given by the difference between the first best value and agency costs, i.e., $V = FB - AC$. These quantities are shaped not only by the agent's actions, $a = \{a_1, a_2, \dots, a_A\}$, in response to the principal's choice of control mechanisms, $\kappa = \{\kappa_1, \kappa_2, \dots, \kappa_K\}$, but also by how both a and κ are influenced by underlying primitives, $\theta = \{\theta_1, \dots, \theta_P\}$, and contextual moderators, $z = \{z_1, \dots, z_M\}$.

Primitives refer to the foundational elements of the agency relationship, namely, characteristics of the agent, the principal, the informational environment, the nature of the delegated tasks, characteristics of the product and so on. In contrast, moderators are contextual

variables that shape how these primitives influence behaviors of agents and choices of principals, and ultimately, the outcomes of relationships. They affect the strength, direction, or structure of these relationships by conditioning how agents and principals respond to available information, incentives, or contractual constraints. Examples of such moderators include regulatory environments that restrict certain actions, cultural norms that make certain behaviors acceptable or not, tax regimes that can blunt the effectiveness of financial incentives, and institutional actors such as financial analysts that can reduce information asymmetries between principals (e.g., investors) and agents (firms).

The relationship between the principal and the agent can thus be seen as a strategic game between the principal and the agent, i.e.,

1. Given θ and z , the principal chooses control mechanisms κ to maximize V .
2. The agent accepts or rejects to work with the principal based on the expected utility that can be captured given θ , z , and κ , in comparison to the next best alternative (outside option).
3. Assuming that the agent accepts to work for the principal, the agent chooses a .
4. The value V is realized and the agent receives payment.

The value realized by the agency relationship can then be reformulated more precisely as

$$V(\theta, z, a, \kappa) = FB(\theta, z, a, \kappa) - AC(\theta, z, a, \kappa),$$

where $\kappa = \kappa(\theta, z)$, and $a = a(\theta, z, \kappa(\theta, z))$, and in equilibrium as V^* .

Building on this framework, we synthesize the extant research in marketing on agency relationships by examining how studies have investigated how agent actions (a), control mechanisms (κ), primitives (θ), and contextual moderators (z), influence value creation and agency costs, as depicted in Figure 1 below. In sum, this framework enables a structured

analysis of how firms can design and deploy control mechanisms to manage agent behavior, reduce agency costs, and enhance value creation across interorganizational relationships. The next section examines in greater depth the empirical and conceptual insights that link these control mechanisms to agent actions, drawing on prior marketing scholarship to illuminate the dynamics at play.

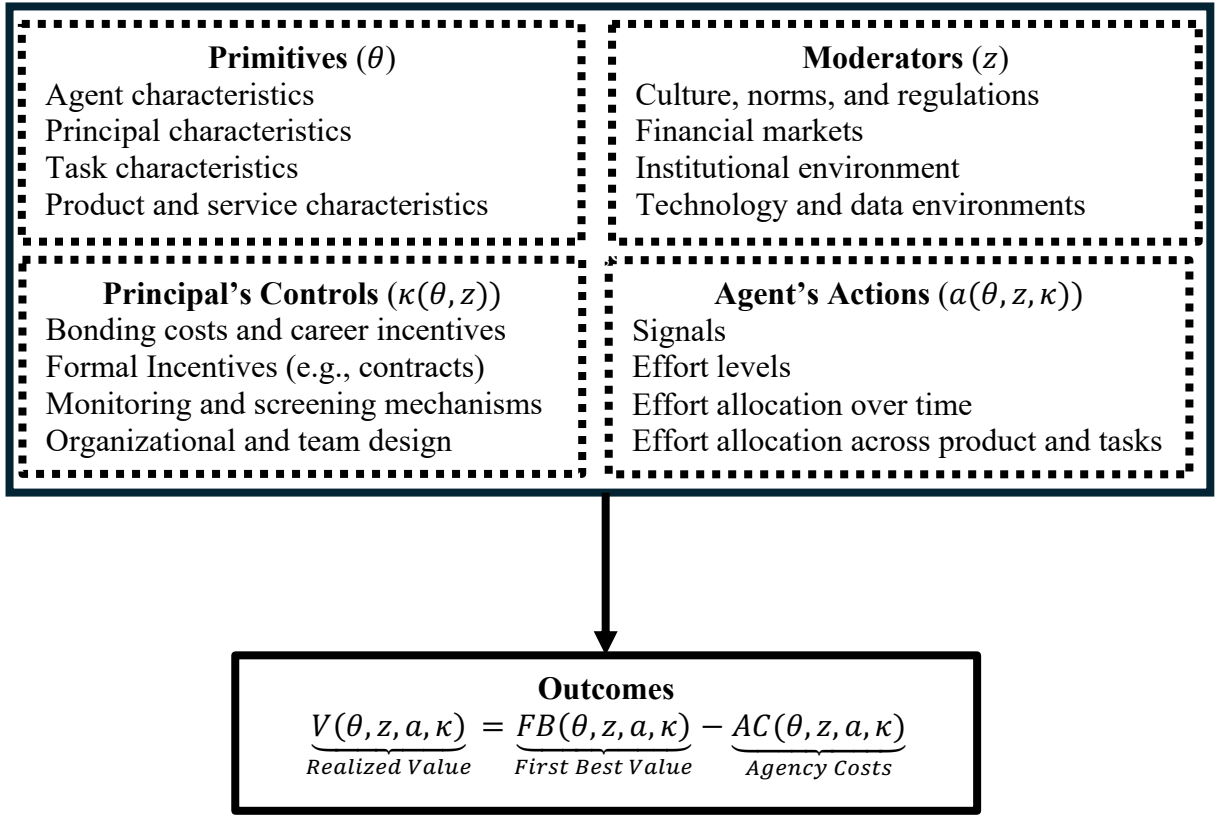
2.2. *Actions and Controls*

At the heart of an agency relationship lies the interplay between the principal's choice of control mechanisms (κ) and the agent's response in terms of actions taken (a). A substantial body of research in marketing has focused on the role of formal *contracts* in managing relationships between and within firms (Gibbons 2005). From a managerial perspective, a central challenge is determining which contract will most effectively drive performance. Formally, this involves identifying the contract, or control mechanism, κ^* that maximizes value $V(\theta, z, a, \kappa)$, which can be written by the condition:

$$\frac{dV(\theta, z, a, \kappa)}{d\kappa} = 0.$$

This question is particularly salient in the context of sales management (Mantrala et al. 2010), where pay-for-performance contracts include cash payments in forms of commissions, quotas, bonuses, sales contests, as well as non-cash components (e.g., Viswanathan, Li, John, and Narasimhan 2018). In this perspective, the strategic lever κ plays a central role in shaping not only how much effort agents exert, but also when, where, and on what tasks that effort is deployed (e.g., Raju and Srinivasan 1996; Kalra and Shi, 2011; Caldieraro and Coughlan 2009; Syam; et al. 2016, Bhargava and Rubel 2019, Kuksov and Villas-Boas 2019, Waiser 2021, Zhang et al. 2024).

Figure 1: Agency Problems in Marketing: A Conceptual Framework



The total effect of contract design on value can be decomposed as

$$\frac{dV}{d\kappa} = \frac{\partial V}{\partial \kappa} + \frac{\partial V}{\partial a} \frac{\partial a}{\partial \kappa}.$$

Research has sought to unpack the mechanisms through which contracts influence performance.

First, there is the direct effect of κ on V , i.e., $\frac{\partial V}{\partial \kappa}$. This term captures the immediate impact of changing the control mechanism on value, holding the agent's action constant. It reflects how a control mechanism, e.g., salesforce compensation plan, may directly affect firm outcomes, e.g., for example, by serving as a selection mechanism (e.g., Lo et al. 2011). Second, there is the indirect effect of κ on V via the agent's behavioral response, i.e., $\frac{\partial V}{\partial a} \frac{\partial a}{\partial \kappa}$. The component $\frac{\partial a}{\partial \kappa}$ reflects how sensitive the agent's actions are to changes in the contract, e.g., whether quotas or bonuses increase sales effort, while $\frac{\partial V}{\partial a}$ captures how much those behavioral changes actually

improve value. For instance, if a nonlinear bonus scheme boosts end-of-quarter effort, i.e., $\frac{\partial a}{\partial \kappa} > 0$, but at the expense of long-term goal, e.g., future earnings as in Chapman and Steenburgh (2011), then the resulting indirect effect may be negative, i.e., $\frac{\partial V}{\partial a} < 0$. Conversely, well-targeted incentives may yield high marginal value of effort, making the product $\frac{\partial V}{\partial a} \frac{\partial a}{\partial \kappa}$ positive.

Based on these relationships, the extant literature has shown that both linear (e.g., Yang et al. 2019; Amaral et al. 2024, Xu et al. 2025) and non-linear plans (e.g., Chung, et al. 2014) have the potential to impact agent's actions, confirming that performance-based contracts work, i.e.,

$$\frac{\partial a}{\partial \kappa} \neq 0.$$

Non-linear plans, however, may lead to gaming behaviors (e.g., Holmstrom 2017, Jerath and Long 2020), and as a result, the effect of the agent's effort on value, i.e., $\frac{\partial V}{\partial a}$, could be positive or negative (Misra and Nair 2011; Kishore et al 2013; Kim et al. 2019; Rao et al 2021, Jindal and Newberry 2022).

These findings extend beyond sales management and apply to other areas of marketing such as advertising (e.g., Shin and Shin 2023), brand and product management (e.g., Jayachandran et al. 2013; Iyer and Singh 2018; Bao et al. 2022), price management (e.g., Lo et al. 2016; Simester and Zhang 2014) and marketing leadership (Bansal et al. 2016). For example, Chapman and Steenburgh (2011) show that marketing managers engage in real earnings management by reallocating marketing expenditures to meet short-term performance targets, often at the expense of long-term value. To investigate how incentive structures influence such behaviors, Currim et al. (2012) further examine the effects of equity-based versus bonus-based compensation, finding that greater reliance on equity, i.e., an incentive aligned with long-term outcomes, deters short-termism and promotes more strategic investment in functions like advertising and Research and

Development (R&D). Complementing this view, Mintz and Currim (2013) demonstrate that the use of well-defined marketing metrics strengthens the alignment between managerial actions and firm objectives, highlighting the critical role of performance measurement systems alongside incentive design.

At the same time, marketing studies have also highlighted that alternative control mechanisms extend beyond formal performance-based incentives. These studies often focus on understanding how control mechanisms might affect agency costs, i.e.,

$$\frac{dAC}{d\kappa} = \frac{\partial AC}{\partial \kappa} + \frac{\partial AC}{\partial a} \frac{\partial a}{\partial \kappa}.$$

The first term $\frac{\partial AC}{\partial \kappa}$ captures the direct effect of a control mechanism on agency costs, while the second term $\frac{\partial AC}{\partial a} \frac{\partial a}{\partial \kappa}$ represents the indirect effect of κ on agency costs via the agent's behavioral response, i.e., $\frac{\partial a}{\partial \kappa}$. These additional control mechanisms identified in the literature include in particular monitoring systems (Kashyap et al. 2012), bonding costs, organizational design, team design, and career concerns.

Heide et al. (2007) show that while output *monitoring* generally curbs opportunism, behavior monitoring may exacerbate it unless buffered by strong informal norms. In contrast, Mishra et al. (1998) and Rokkan et al. (2003) document that relationship-specific investments labeled as *bonding costs* may serve as a mechanism to mitigate adverse selection, thus reducing agency costs, i.e., $\frac{dAC}{d\kappa} < 0$.

Organizational design can also have an impact on agency costs. Heide (2003) shows that plural governance can reduce monitoring costs of outside vendors (e.g., advertising agencies). Dukes and Zhu (2019) find that tiered organizational structures can help firms manage adverse selection in customer complaints. At the same time, Hadida et al. (2019) suggest that temporary

marketing organizations can also help reduce agency costs, i.e., $\frac{\partial AC}{\partial a} \frac{\partial a}{\partial \kappa} < 0$, while Homburg et al. (2020) find that increasing indirect channel usage (κ) can elevate the risk of moral hazard thus increasing agency costs, i.e., $\frac{\partial AC}{\partial a} \frac{\partial a}{\partial \kappa} > 0$. Finally, Rubel et al. (2025) detail how organizational design can help firms in business markets achieve an optimal allocation of risks between risk averse agents in the context of marketing and sales coordination.

Simultaneously, *team design* constitutes another critical dimension of organizational architecture that shapes the value created in agency relationships. Li et al. (2020) demonstrate that under individual-based incentive schemes, low-ability agents may reduce effort when paired with higher-performing peers. In contrast, under revenue-sharing contracts, team composition can foster cooperation and improve overall productivity. In addition, Chan et al. (2014a) show that the direction and magnitude of peer effects in sales teams depend critically on the compensation system, i.e., team-based incentives foster cooperation and productivity spillovers, while individual-based pay induces more internal competition and reduces collective performance. Similarly, Chan et al. (2014b) find that peer-based learning within teams plays a significant role in driving productivity gains over time. These findings underscore that the structure of teams, whether defined by ability, experience, or incentive alignment, can either amplify or attenuate agency costs by shaping effort allocation, knowledge spillovers, and motivational dynamics. Extending this perspective, Zhang, et al. (2024) find that the effectiveness of group versus individual incentives depends on brand strength: group incentives perform better for weaker brands by reducing performance evaluation noise due to customer heterogeneity, whereas individual incentives are more effective for stronger brands.

Applying this team perspective to senior leadership, Li (2024) investigates moral hazard within top management teams, aiming to assess how executive compensation should reflect the interdependent, team-based nature of their responsibilities.

Finally, *career concerns* can function as “incentives without contracts” (Gibbons 2005), influencing agent behavior through implicit expectations of future rewards and career paths (Miklós-Thal and Ullrich 2016). Arya and Mittendorf (2015) examine for example how career incentives shape marketing (i.e., fundraising activities) and operational decisions in nonprofit organizations, where traditional pay-for-performance schemes are rarely used. Empirically, Yang et al. (2024) find that implicit rewards from career progression, such as prestige and managerial status, may exert a stronger influence on sales effort than monetary commissions. This study shows that career concerns can substitute for or complement explicit incentives depending on an agent’s cost of effort, tenure, and perceived mobility. These findings complement Chakravarty and Grewal (2016), which document that career concerns can interact with bonding costs between firms and their top marketing executives, thus also shaping strategic decisions beyond the mere use of formal contracts.

To fully explain the variation in agent behaviors and the effectiveness of control mechanisms on value across different marketing contexts, the extant literature has identified additional sets of constructs, i.e., primitives and moderators. These constructs help disentangle the deeper structural drivers and contextual contingencies that shape how agents respond to incentives and how principals tailor governance mechanisms for maximum value creation.

2.3. Primitives and Moderators

2.3.1 Primitives (θ)

Primitives are the foundational characteristics of agents, tasks, and environments that shape not only the choice and design of control mechanisms, but also how agents respond to them. Prior research (e.g., Bergen et al. 1992; Godes 2003; Banerjee et al. 2012) have documented the importance of risk aversion, task characteristics, agent ability and environmental uncertainty in shaping control mechanisms and influencing agent behavior, i.e., $\frac{\partial \kappa}{\partial \theta}$ and $\frac{\partial a}{\partial \theta}$, respectively.

Building on these contributions, research in behavioral economics has expanded the set of relevant primitives such as time discounting, social comparison preferences, mental accounting, or even learning potential. Jain (2012) for instance incorporates *present-biased preferences* and shows how multiperiod contracts (e.g., annual bonuses) can help reduce the agency costs linked to self-control problems. Specifically, this study argues that while agency costs can increase because of self-control issues, $\frac{\partial AC}{\partial \theta} > 0$, multiperiod contracts can attenuate their deleterious effects on value by decreasing agency costs, i.e., $\frac{\partial^2 AC}{\partial \theta \partial \kappa} < 0$. At the same time, Chung, et al (2025) empirically document the importance of time preferences on the design of performance-based contracts, thus informing the relationship $\frac{\partial \kappa}{\partial \theta}$. Regarding *social comparison preferences*, Long and Nasiry (2020) and Sawant et al. (2021) contribute to the literature in marketing by showing how social comparison preferences might modulate contract design and agent performance. Long and Nasiry (2020) look at the effect of pay transparency on incentive design. Sawant et al. (2021) show that perceived contractual inequity can lead to free riding in franchise system settings, which suggests that in this case $\frac{\partial^2 a}{\partial \kappa \partial \theta} < 0$, where the primitive θ captures the agent's sensitivity to fairness. Viswanathan et al. (2018) complement these behavioral considerations by arguing that *mental accounting* might explain why all cash

compensation plans might not be as effective in motivating agents compared to plans that combine cash and non-cash incentives. Finally, *learning potential* has also been identified as a relevant primitive. Gao (2023) introduces a dynamic model in which agents privately observe their own skill trajectories. In response, firms can use aggressive sales targets early in the relationship to accelerate learning but must also provide information rents to ensure retention and truth-telling. At the same time, Chan et al. (2014b) empirically find that peer-based learning might play a more prominent role than learning-by-doing in agency environments.

In addition to behavioral characteristics, the literature has found that *task and product attributes* can be important dimensions influencing agency relationships. For instance, Bhargava and Rubel (2019) establish that in the case of certain technology products, both control mechanisms and agent actions should account for network effects. Conversely, Kim et al. (2019) show that selling financial products, such as loans, often requires multidimensional incentive structures to balance acquisition and post-sale maintenance efforts.

2.3.2 Moderators (z)

While primitives reflect fixed traits of agents and tasks, moderators are contextual conditions that shape how these primitives interact with control mechanisms and agent actions to influence agency costs and value realization. Specifically, moderators may not directly enter the agent's utility or production function but they may alter the effectiveness of contracts, monitoring mechanisms, or incentives, often by shaping what is known and unknown to principals and agents. As a result, moderators may modulate agency costs $AC(\theta, z, a, \kappa)$, such that:

$$\frac{dAC}{dz} = \frac{\partial AC}{\partial z} + \left(\frac{\partial AC}{\partial \kappa} + \frac{\partial AC}{\partial a} \frac{\partial a}{\partial \kappa} \right) \frac{\partial \kappa}{\partial z} + \frac{\partial AC}{\partial a} \frac{\partial a}{\partial z}.$$

This expression shows how contextual moderators shape overall agency costs, both through direct and indirect channels. The first term $\frac{\partial AC}{\partial z}$ captures the direct impact of a moderator on agency costs. For example, a regulatory change or new institutional norm may immediately reduce agency costs, e.g., by improving transparency or legal protection, even before any adjustments are made to contracts or agent behavior. In contrast, the term $\frac{\partial \kappa}{\partial z}$ reflects how moderators modulate control strategies. A firm operating in a high-trust culture might choose for example softer contracts or more flexible incentives in response to the environment. Finally, the term $\frac{\partial a}{\partial z}$ captures behavioral adaptation to the environment.

The literature has identified legal and regulatory structures as prominent moderators of the value created by agency relationships. Antia, Zheng, and Frazier (2013) examine for instance how mandatory disclosure regulations in franchising influence the prevalence and resolution of conflicts. They show that regulations reduce information asymmetries between franchisors and franchisees, thus lowering agency costs (e.g., litigation) by improving transparency. Regulation also plays a critical role in shaping agency relationships in the case of product recalls and product-harm crises (e.g., Rubel et al. 2011). Singh and Grewal (2023) investigate how lobbying efforts by firms in the U.S. automobile industry influence regulatory oversight and product recall decisions. They find that firms with greater lobbying power are able to delay or mitigate product recalls, potentially exacerbating agency problems by allowing managers to prioritize short-term financial interests over consumer safety. This highlights that while regulation is often designed to reduce information asymmetry and protect stakeholders, weak or captured regulatory enforcement can amplify agency costs by enabling opportunistic behavior. Thus, the effectiveness of regulatory structures as moderators depends not only on their design, but also on their enforcement.

A number of studies also examine the role of financial markets and related institutions in influencing agency costs. Chakravarty and Grewal (2016) document for example that financial security analysts and career concerns of managers, can decrease agency costs related to the management of marketing and R&D budgets. On the one hand, security analysts serve as information intermediaries who can reduce investors' costs of monitoring firms, and at the same time, career concerns can soften the agent's opportunistic behaviors, because value destructing activities could reduce the agent's future employability and compensation. In the same vein, Moon et al. (2023) demonstrate that greater advertising disclosure by firms can reduce agency costs by lowering information asymmetry with investors, i.e., the agent voluntarily takes an action to reduce uncertainty. As a result, firm's value increases because of lower uncertainty.

Technological and data environments increasingly function as moderators of incentive effectiveness by mitigating information asymmetries, and at the same time by enhancing the reach of control mechanisms. Israeli (2018) shows that retailer compliance with MAP policies significantly increased thanks to the use on new analytics tools permitted by technological advances. These technologies not only reduce information asymmetry but also make threats of enforcement more credible, thereby reshaping the incentive-performance link without necessarily altering formal compensation structures. By contrast, Berman (2018) examines online advertising attribution and shows that attribution rules such as last-touch vs. Shapley value differentially incentivize publishers and influence where they exert effort. In both cases, the technological framing of performance feedback mediates the agent's perceived marginal return to effort, thereby influencing behavior independently of formal compensation. In the same vein, Liu et al (2021) shows how technology enabled digital platforms have the potential to reduce moral hazard.

Finally, cultural and national factors also play a significant role in the design of incentives. Jayachandran et al. (2013), for instance, explore how country-level institutional environments, including legal protections for intellectual property, moderate the structure of royalty contracts in international licensing agreements. In more stable institutional environments, principals can rely on less stringent contractual controls, thereby reducing governance costs. Similarly, Rouziès et al. (2009) examine cross-national differences in sales force compensation structures and find that pay levels and contract forms vary systematically across countries, shaped by national culture, labor market conditions, and institutional norms. These findings underscore how diverse regulatory and cultural environments can have an impact on how sales agents are compensated and incentivized.

Taken together, the literature demonstrates that the realized value of agency relationships in marketing hinges on the dynamic interplay among agent behaviors, principal control mechanisms, foundational primitives, and broader contextual moderators. Table 1 below illustrates these elements into a cohesive framework. This integrative framework also offers a powerful lens for examining emerging agency challenges in interorganizational relationships, particularly as technological advances, most notably in Artificial Intelligence (AI), and the rise of innovative governance arrangements such as common ownership, begin to reshape firm behavior. These developments open promising avenues for marketing scholars to investigate how value is created, captured, and sustained in increasingly dynamic and complex market environments.

Table 1: Value Creation and Frictions in Interorganizational Relationships

Mechanism of Interest	Interpretation	IOR Example
$dV/d\kappa = 0$	What is the optimal control mechanism to maximize value V ?	How can a SaaS provider structure tiered commissions to maximize value and motivate resellers?
$\frac{dV}{d\kappa} = \frac{\partial V}{\partial \kappa} + \frac{\partial V}{\partial a} \frac{\partial a}{\partial \kappa}$	Decomposition of the effect of contract changes: direct + indirect effects on value.	Changing the commission structure in a supplier–retailer contract affects both contract compliance (direct) and agent motivation (indirect).
$\partial a / \partial \kappa$	How do agent actions respond to changes in the control mechanism?	How does linking contract terms to the adoption of AI-powered crop monitoring tools influence farmers’ willingness to share real-time field data and act on system-generated recommendations?
$\partial V / \partial a$	How much does a change in agent behavior affect value creation?	How does increased adherence by retail partners to a luxury brand’s merchandising guidelines impact customer conversion rates and overall store profitability?
$\frac{dAC}{d\kappa} = \frac{\partial AC}{\partial \kappa} + \frac{\partial AC}{\partial a} \frac{\partial a}{\partial \kappa}$	How control mechanisms affect agency costs, directly and via agent behavior.	How does embedding service quality audits into contracts between a medical device manufacturer and third-party service providers reduce agency costs, directly through penalty clauses for noncompliance and indirectly by encouraging more proactive maintenance behaviors?
$\partial \kappa / \partial \theta$	How do primitives (e.g., risk aversion, time preferences) influence contract design?	A supplier tailors contracts differently for conservative vs. risk-tolerant retail partners.
$\partial a / \partial \theta$	How do agent characteristics influence their behavioral response?	Do AI-savvy franchisees respond more proactively to performance dashboards and predictive analytics embedded in franchisor contracts, compared to less tech-oriented peers?
$\partial^2 a / \partial \kappa \partial \theta$	How do primitives moderate the effect of control mechanisms on agent behavior?	Does agent’s learning potential moderate how performance incentives translate into effort allocation in interorganizational partnerships?
dAC / dz	How contextual moderators affect agency costs via multiple pathways.	In high-trust cultures, formal contracts in supplier alliances reduce agency costs less than relational norms.
$\partial a / \partial z$	How do contextual moderators (e.g., culture, institutions) directly influence agent behavior?	In emerging markets, institutional voids prompt local resellers to deviate from agreed channel strategy.

3. Research Agenda

Building on the conceptual framework outlined above, future research can delve into how emerging forces are reshaping agency dynamics in interorganizational relationships. In particular, the rapid advancement of Artificial Intelligence (AI) technologies and the proliferation of novel governance structures such as common ownership are transforming the assumptions that underpin traditional agency theory. These shifts are not merely technological or structural; they alter the primitives, control mechanisms, and behavioral responses that define agency relationships. As such, they present fertile ground for marketing scholars to revisit established theories, pose new research questions, and develop empirically grounded insights into value creation and appropriation in increasingly complex market environments. Among these forces, Artificial Intelligence (AI) stands out as a particularly consequential driver of change.

3.1. Artificial Intelligence

Artificial intelligence may influence interorganizational relationships by reducing information asymmetries between the principal and an agent, by enhancing agents' productivity and by transforming the nature of monitoring and control mechanisms.

First, AI can increase the effectiveness of agent actions by augmenting their productivity. For example, AI systems that generate personalized content, optimize targeting, or automate lead qualification enable agents to reallocate time toward higher-value tasks. In such cases, the marginal return to agent effort ($\partial V / \partial a$) may increase, thereby enhancing the overall value created in the relationship. However, this shift also raises new questions about how to structure incentives when part of the value creation is “algorithmically” enabled. Traditional performance-based contracts may need to be redesigned to reflect both human effort and AI leverage,

potentially modifying the nature of control mechanisms to maintain motivation while recognizing the complementary role of automation. Empirically, future research could leverage archival data on contracts to assess how incentive structures evolve when AI tools are introduced, i.e., for instance, whether contracts begin to specify joint performance metrics for human agents and AI systems, or embed clauses addressing accountability for algorithm-driven actions. Additionally, field studies or interviews with executives could reveal how AI reshapes perceptions of value attribution and fairness in shared outcomes.

Second, AI can serve as a monitoring and screening mechanism. AI-enabled CRM systems, for instance, can track sales agent interactions, assess engagement quality, and detect deviations from expected behavior patterns. These capabilities may substitute for traditional supervisory oversight and reduce moral hazard by improving the observability of agent actions. In this sense, AI can serve as a monitoring tool that enhances the principal's ability to condition rewards on behavior, thereby potentially reducing agency costs (*AC*). To empirically investigate these dynamics, future research might examine firm-level variation in AI-based monitoring adoption using panel data to test whether the introduction of such systems correlates with changes in performance or contractual renegotiations. Alternatively, qualitative interviews with boundary-spanning personnel—such as key account managers or sales supervisors—could uncover how AI reshapes day-to-day accountability and behavioral expectations within IORs. Experimental approaches may also simulate monitoring scenarios to explore whether AI-driven oversight alters effort levels or perceptions of surveillance fairness compared to human supervision.

Third, the integration of AI into marketing governance also introduces new frictions. From a primitive standpoint, one should now consider how agents respond to algorithmic-driven decision tools (e.g., Karlinsky-Shichor and Netzer 2024). Research on algorithmic aversion

(Dietvorst et. 2018) for instance suggests that some agents may resist, disregard, or selectively interpret AI-generated recommendations. As a result, the adoption of AI-based control mechanisms may not uniformly induce the intended changes in agent behavior. To empirically examine this phenomenon, future research could use survey-based methods or structured interviews to assess when and why agents trust—or resist—AI-generated guidance in interorganizational contexts. Field experiments could explore how the salience or framing of AI-generated recommendations (e.g., labeling them as an “expert system” versus a “machine output”) influences agent compliance, task performance, and perceived legitimacy.

Finally, as firms delegate certain decision-making responsibilities to AI systems, the locus of agency shifts. The principal is no longer just managing the human agent but is also implicitly trusting an algorithmic “agent” whose “machine-learning” objectives may not be fully aligned with firm strategy. As a result, while AI may reduce traditional agency costs by improving information and monitoring, it simultaneously creates new forms of risk and accountability that demand novel governance structures. Empirically, this evolving locus of agency raises opportunities for research examining how firms audit, validate, or assign accountability for algorithmic decisions in interorganizational settings. For example, scholars could analyze contractual provisions related to AI oversight, or conduct interviews with managers responsible for interfirm AI implementation. Experimental methods could also be used to explore how principals allocate responsibility when AI-generated decisions lead to undesirable outcomes—such as service failures or compliance breaches—especially when blame could be ambiguously distributed across human and algorithmic agents.

While AI technologies represent one technological frontier altering the dynamics of agency and governance in IORs, structural shifts in firm ownership constitute another. In

particular, the growing prevalence of common ownership—where the same institutional investor holds stakes in multiple firms within a marketing channel or competitive set—raises novel agency considerations. Unlike AI, which reshapes monitoring and decision-making processes, common ownership may alter the alignment of objectives between firms by blurring traditional organizational boundaries. This emerging phenomenon prompts new questions about how incentives, information flows, and governance structures are designed when firm interests are partially co-owned.

3.2. Common Ownership

Common ownership refers to a governance structure largely unexplored in the marketing literature where large institutional investors, such as BlackRock, Vanguard, or Fidelity, hold significant equity stakes in multiple firms within the same industry (Schmalz 2018). Therefore, common ownership links competing firms under the oversight of shared principals. This type of governance structure calls for reconsideration of the traditional assumption of bilateral principal-agent dyads in marketing by considering settings where agents and principals are embedded within more complex governance structures. When multiple agents are overseen by the same principals, the incentive structure may potentially change. Anton et al. (2023) and Azar et al. (2018) find for instance that managers in commonly owned firms face lower performance-sensitive compensation and exhibit less aggressive competitive behavior.

Common ownership has important implications for interorganizational relationships in marketing by potentially altering the effectiveness of traditional control mechanisms. When institutional investors hold significant stakes across competing firms, the design of control mechanisms such as performance-based contracts may for instance be softened to avoid promoting excessive rivalry or weakening investors' broader portfolios. Lu et al. (2022) provide

empirical evidence consistent with this interpretation in a marketing context by showing that increases in common ownership, driven by mutual fund mergers, lead to significant reductions in advertising spending. These findings thus suggest that, even without explicit coordination, the structure of control under common ownership can shape agent's behavior in ways that may raise concerns of anti-competitive behaviors (e.g., Rock and Rubinfeld 2020).

Future research could explore the following questions at the intersection of agency theory and common ownership in marketing, i.e., how should control mechanisms be designed under common ownership? Could common ownership give rise to new agency problems in marketing? Under what conditions does common ownership amplify or mute agency costs in marketing relationships? How does the presence of shared principals influence the balance between formal (contractual) and informal (relational or cultural) control mechanisms in marketing governance? How could common ownership structures influence the design of interorganizational marketing contracts? Empirically, advancing research on common ownership and agency in IORs could benefit from several methodological approaches. Archival analyses using institutional ownership data (e.g., from SEC filings or financial databases) can be merged with marketing contract terms, advertising spending, or performance metrics to examine how control structures vary with the extent of common ownership. Alternatively, natural experiments—such as mutual fund mergers or regulatory shifts—may offer causal leverage by inducing exogenous changes in shared ownership. Additionally, qualitative interviews with marketing executives or corporate governance officers could provide insight into how common investors influence interfirm contract negotiations, competitive norms, or channel coordination.

4. Conclusion

This chapter synthesizes a wide-ranging body of research applying agency theory to marketing. At its core, agency theory addresses the fundamental problem of how to align incentives and coordinate behavior under conditions of information asymmetry and misaligned incentives. Based on the extant literature, this chapter proposes a framework to detail how agent actions, control mechanisms, primitives, and contextual moderators might modulate agency costs and shape value creation.

Recent advances in behavioral economics, data technologies, and evolving organizational forms have further extended the scope of agency theory. Incorporating insights from behavioral contract theory allows a more nuanced understanding of how agents might respond to control mechanisms and contextual moderators. At the same time, technologies such as AI are transforming the structure of agency relationships, by reducing some information asymmetries while introducing new sources of friction. These shifts also suggest that the relationships between principals and agents might evolve owing to emerging technologies and new governance structures. Future research should explore how traditional constructs such as moral hazard and adverse selection are reconfigured in platform-mediated exchanges, how hybrid human-AI teams reshape monitoring and accountability, and how principals should design governance systems when agents operate not as isolated actors but as nodes in interorganizational networks.

From a managerial standpoint, agency theory offers a powerful toolkit for optimizing the value of interorganizational relationships by shedding light on the mechanisms that shape contract effectiveness and monitoring outcomes. A key insight lies in the value of understanding how agents respond to control mechanisms. When firms implement new incentives such as bonuses tied to customer retention or AI-enabled performance metrics, managers must look

beyond simple compliance to anticipate shifts in motivation, effort allocation, and collaboration across organizational boundaries. This becomes even more important in international contexts, where divergent institutional logics and competitive pressures can alter how incentives are perceived and acted upon. Effective contracts are not only instruments of enforcement, but they are also tools for enabling and guiding value-creating behaviors across diverse sectoral and geographic settings.

Agent characteristics are equally critical. Variations in technological sophistication, risk tolerance, or institutional familiarity for instance can dramatically affect how governance systems are interpreted and enacted. For instance, a fintech startup partnering with a legacy bank in Southeast Asia may require different contractual scaffolding than a software vendor collaborating with a hospital network in Western Europe. Rather than relying on a one-size-fits-all model, managers should tailor control systems to the specific capabilities and constraints of their partners, for example, through shared dashboards adapted to sectoral norms and local norms.

Finally, context shapes control. Governance mechanisms that succeed in one setting may backfire in another. For example, high-frequency AI monitoring may improve accountability in data-rich industries like precision agriculture or global logistics but could undermine trust in cultures or sectors that emphasize relationship-based coordination, such as in Latin American distribution networks or traditional retail alliances in South Asia. Effective IOR governance thus requires aligning structural controls with the cultural, institutional, and sectoral realities of each partnership. In this way, agency theory serves as a strategic framework to help managers select control mechanisms that enhance the value of interorganizational relationships—not only by anticipating behavioral responses to incentives and governance structures, but also by

incorporating critical contextual factors such as cultural norms, institutional settings, and the prevailing technological landscape.

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